BERNSTEIN
SOCIETE GENERALE GROUP

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U.S. Medical Devices

Intuitive Surgical Inc

Rating

Outperform

Price Target

ISRG **685.00 USD** (750.00 *OLD*)

Intuitive Surgical 2Q26: Reviving debates on U.S. growth trend

Another strong quarter financially. Sales grew 19% to $2.89bn and beat by 2.5%. I&A sales grew 18% to $1.73bn and beat by 1%. Systems sales grew 19% to $685mn on 468 dV shipments (vs. cons 444) and beat by 4%. Services sales grew 21% to $472mn and beat by 6%. EPS grew 28% to $2.80 and beat by 12%. Consensus EPS numbers will come up again—our 2027 EPS came up by 4% to $12.71.

Reviving debates on U.S. procedure growth trend and durability. U.S. procedure growth (11.5%) decelerated from 1Q26 (13.5%) and missed consensus (13.2%) by 170bps, and ISRG pointed investors to the midpoint of the 13.5%-15.5% procedure growth guide (a de facto guide-down). ISRG attributed the miss to pressure from lower ACA enrollment—which will revive fears raised by HCA's announcement on Tuesday. ISRG also mentioned the "law of large numbers"—which will raise questions about U.S. growth durability. Our TAM work suggests there's plenty of runway for many years of durable U.S. growth.

Innovation engine humming. As dV5, Ion, SP, XiR, and My Intuitive+ drive growth today, ISRG is busy innovating: dV5 UI updates, imaging upgrades, extended use instruments, and a 510(k) submission for a new flexible endoscope system designed for GI procedures.

Bottom line: Worries about the U.S. procedure growth trend will ignite debates and weigh on the stock, especially as we approach Q3 (this year's toughest procedure growth comp). We expect recovery from the -11% post-market plunge, but if the stock holds at that level (~ $360), the multiple could reach parity with EW. We see a great entry point here below $400, and we'd suggest it'll be worth your time to do some work on ISRG this summer.

Investment Implications

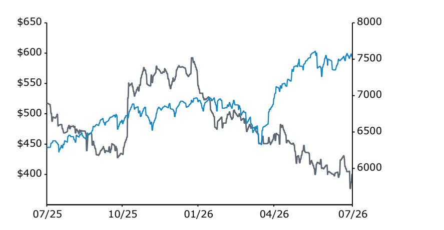
We rate ISRG Outperform with a price target of $685 (down from $750) using a P/E multiple of 50x (down from 59x) against our forward Q5-Q8 EPS estimate of $13.66 (up from $12.69). For more, see our thoughts on Intuitive's 1Q25 recap. Model: ISRG

Close Date	16 Jul 2026
ISRG Close Price (USD)	402.33
Price Target (USD)	685.00
Upside/(Downside)	70%
52-Week Range	603.88/378.50
SPX	7,533.77
FYE	Dec
Div Yield	NA
Market Cap (USD) (M)	142,490
EV (USD) (M)	138,096

Performance	YTD	1M	6M	12M
Absolute (%)	(29.0)	0.0	(24.8)	(22.1)
SPX (%)	10.1	0.3	8.6	20.3
Relative (%)	(39.0)	(0.3)	(33.4)	(42.3)

Source: Bloomberg, Bernstein estimates and analysis.

Price Performance, 1YR



Adjusted EPS	F25A	F26E	F27E
ISRG (USD)	8.93	**11.08**	**12.71**
OLD	--	10.54	12.23

Financials	F25A	F26E	F27E	CAGR
Revenues (M)	10,065	11,956	13,920	17.6%
Organic Sales Growth (%)	20.5	15.5	15.7	--
Operating Earnings (M)	3,765	4,334	5,119	16.6%
Net Earnings (M)	3,215	3,608	4,224	14.6%
Adj. Operating Margin (%)	37.4	37.3	38.0	--
ROIC (%)	16.3	18.1	17.7	--

Valuation Metrics	F25A	F26E	F27E
Adjusted P/E (x)	45.0	36.3	31.6
PEG Adjusted (x)	2.1	1.5	2.1
EV/EBITDA (x)	38.8	30.5	26.5
EV/FCF (x)	55.4	32.4	28.4
EV/Sales (x)	13.7	11.5	9.9

Source: Bloomberg, Bernstein estimates and analysis.

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DETAILS

Another strong quarter financially

Sales beat by 2.5%. Revenue of $2.89bn grew 19%, 2.5% ahead of consensus ($2.82bn). Across segments, Instrument & Accessories sales grew 18% to $1.73bn, 1% ahead of consensus ($1.72bn) on global da Vinci procedure growth of 14.7% (just short of consensus 14.9%). Systems revenue grew 19% to $685mn and beat consensus ($657mn) by 4.2%, as da Vinci system placements (468) beat by 5.4%. Systems ASP of $1.59mn grew 6.0% YoY but fell behind expectations of $1.67mn, driven by higher trade-ins and higher mix of lower ASP X and XiR systems. Services revenue grew 21% to $472mn and beat consensus ($447) by 5.6%.

Gross margin was 70.0%, beating consensus (67.8%) by ~220bps. ISRG booked an IEEPA tariff refund benefit of $36mn in the quarter, which drove ~125bps of the 220bps GM favorability (GM without tariff benefit ~68.7%). The remainder of the year-over-year increase vs 2Q25 (67.9%) reflects product cost reductions and fixed overhead leverage.

Operating margin was 42.1%, ~340bps ahead of consensus (38.7%), with strength reflecting robust adoption of dv5 and SP, as well as a $36mn pretax benefit tied to the refund of previously paid IEEPA tariffs (OM without tariff benefit ~40.9%).

EPS of $2.80 grew 28% and beat consensus ($2.50) by 11.9%, including a benefit of $0.08 per diluted share related to tariff refunds. Excluding the tariff benefit, EPS of $2.72 grew 24% and beat consensus by 8.7%.

Buyback. Intuitive repurchased 0.9 million shares of its common stock for $0.38bn during the second quarter of 2026. As we have noted in the past, Intuitive has a strong track record as a buyer of their own stock. Over the past 4 quarters, Intuitive has repurchased ~$3.6bn of their own stock — roughly equivalent to free cash flow over the same period. Management believes the company is likely continue this buyback playbook.

Slowing U.S. procedure growth reignites hospital utilization fears

Simmering fear that reached a boiling point. Over the past few months, hospital commentary has stoked fears that utilization growth could slow in 2H26, driven in part by declining enrollment in ACA plans and cuts to Medicaid. When HCA pre-released 2Q26 revenue on Tuesday—highlighting a 2.3% decline in same-facility inpatient surgery volumes and a 3.4% decline in same-facility outpatient surgery volumes—these fears boiled over, and medtech stocks dropped 3%-7% (see our takeaways from HCA's pre-release).

Relief from JNJ/ABT/UNH. On Wednesday, JNJ commented that they saw (1) no sign of a slowdown in underlying procedure markets and (2) no impact from declining enrollment in ACA or Medicaid. In fact, JNJ forecasts acceleration from 1H26 to 2H26 in all four of its MedTech businesses (see JNJ recap). Then yesterday, ABT CEO Robert Ford offered a vehement defense of medtech market health, claiming both that (1) ABT sees no signs of slowdown in procedure trends and, (2) fears about pressure on medtech procedures were grounded in the "flawed assumption" that declining enrollment in ACA or Medicaid are impactful to medtech markets (see ABT recap). With added encouragement from in-line surgical volumes at UNH (Wilkes), Medtech stocks rallied on Thursday.

ISRG reignites concerns. Per Exhibit 1, U.S. da Vinci procedure growth decelerated from 16% in 3Q25 to15% in 4Q25 to 14% in 1Q26 and to 12% in 2Q26. As soon as investors saw this seemingly sharp deceleration in the U.S. procedure trend, fears about slowing utilization growth were reignited. On the earnings call, management explained that the main driver of the decelerating trend was the expiration of subsidies for ACA enhanced premiums and subsequent declines in ACA enrollment. ISRG believes most—but not all—of the U.S. procedure growth deceleration was ACA-related. To explain the remainder of the 200bps deceleration, management cited "***the law of large numbers,***" the idea that as procedure volumes reach a large enough base, percentage growth rates will inevitably moderate, even if absolute procedure counts continue to rise.

> *"...Two things actually that we're looking at. First and most importantly is just feedback from our customers as we look at their procedure trends with us and engage with them in terms of what they're seeing. If you look at those procedure types where we know that a subset of them can be deferred.* ***We see a difference in terms of what's happening in the procedure trends, particularly in Q2 relative to those procedures where they're less deferrable or not deferrable*** *so it's just a combination of those 2 things. If you look at what we saw in Q2, U.S. procedure growth overall for da Vinci was 12% versus the 14% we saw in Q1* ***there's likely some combination there of the impact from ACA, but***

also we're just seeing a little bit of the law of large numbers as well."

Which procedures are driving deceleration? In our follow-up, management clarified what drove slowing U.S. procedural growth and which surgeries were impacted. The team pointed to three procedure categories: (1) benign hysterectomy and a subset of (2) hernia and (3) cholecystectomy procedures (those where symptoms are less severe). Bariatric surgeries declined HSD in Q2 on rising GLP-1 usage and now account for a little over 2% of global da Vinci procedures (80% of which are in the U.S.). U.S. bariatric procedures declined 10% in Q1, so this wasn't a key contributor to Q1-to-Q2 deceleration.

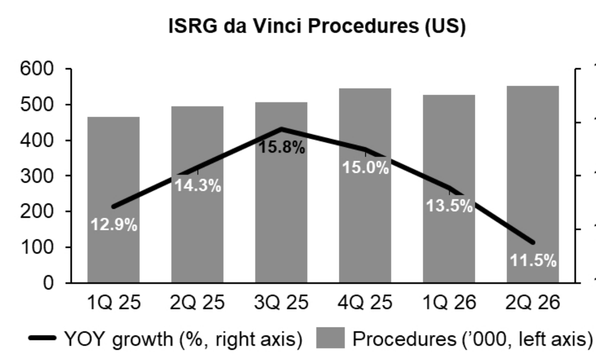
Law of large numbers. If there's one phrase that can touch a nerve for investors who are on the fence about owning ISRG, it's "law of large numbers." For years, investors have worried that "saturation" of the U.S. procedure opportunity may be around the next corner. Of course, no one believes U.S. dV procedure growth can remain at 15% for the rest of eternity. But it's not unreasonable to believe U.S. procedure growth can continue in the double-digits for a good while. In our follow-up with management, the team admitted that they meant to emphasize declining ACA enrollment as the primary driver of the Q1-to-Q2 deceleration. They mentioned law of large numbers as a possible contributor to the deceleration, but they did not intend for investor to blow this out of proportion.

Plenty of opportunity in the U.S. Our market model work suggests there's still plenty of opportunity for U.S. procedure growth. Intuitive management emphasized this same point in our follow-up call. Beyond continued growth in core procedure set, the team highlighted several areas of focus that will continue to drive U.S. procedure growth:

- After-hours procedures grew 26% in Q2, and the team continues to work with hospitals to unlock opportunities to leverage underused systems capacity for after-hours procedures.
- Benign gynecology procedures—including sacrocolpopexy, endometriosis surgery, oophorectomy, and myectomy—grew 19% in the U.S. in Q2. Intuitive continues to invest in incremental clinical resources to support growth in these areas.
- Several high-growth U.S. benign general surgical procedures (e.g., foregut, gastrectomy, HPB procedures) collectively grew 16% in Q2, and ISRG continues to see opportunity here.
- Intuitive points to several early-stage opportunities in the ASC, cardiac surgery, and nipple-sparing mastectomy where growth could accelerate dramatically over the coming years and provide meaningful contributions to U.S. procedure growth.
- The team mentioned that they are working on several additional procedure opportunities that they are not ready to discuss.

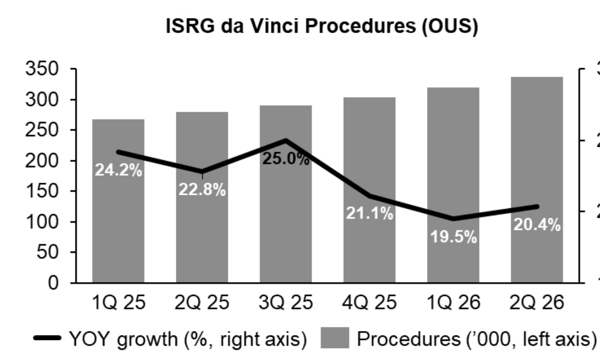
Bottom line, while this Q2 U.S. procedure deceleration is bound to raise eyebrows, we are nowhere near the limits of the U.S. procedure growth opportunity. It's also important to remember the "innovation-driven revenue growth" concept that Intuitive management introduced in Q1. Procedure growth will continue to be a critical metric for many years, but ISRG is bringing plenty of additional value to procedures that can help contribute to revenue growth even as procedure growth rates begin to decelerate at some stage.

EXHIBIT 1: **U.S. dV procedure growth decelerated by 200bps from 1Q26 to 2Q26***



*Adjusting for harder Q2 comp, 2-year stack procedure growth decel is less dramatic, 26.4% to 25.8% Q1 to Q2
Source: Company reports; Bernstein analysis

EXHIBIT 2: **OUS dV procedure growth accelerated slightly on an easier comp***



*Adjusting for easier Q2 comp, 2-year stack procedure growth trend is 43.7% to 43.2% Q1 to Q2
Source: Company reports; Bernstein analysis

Weaker-than-expected global procedure growth

Da Vinci procedures grew 14.7% globally in 2Q26, 20bps slower than consensus (14.9%), including 12% growth in U.S. procedures. Procedure growth in the U.S was led by general surgery with after-hours procedures increasing 26%, moderated by deferred procedures on ACA impact. Management is confident that deferred cases will return.

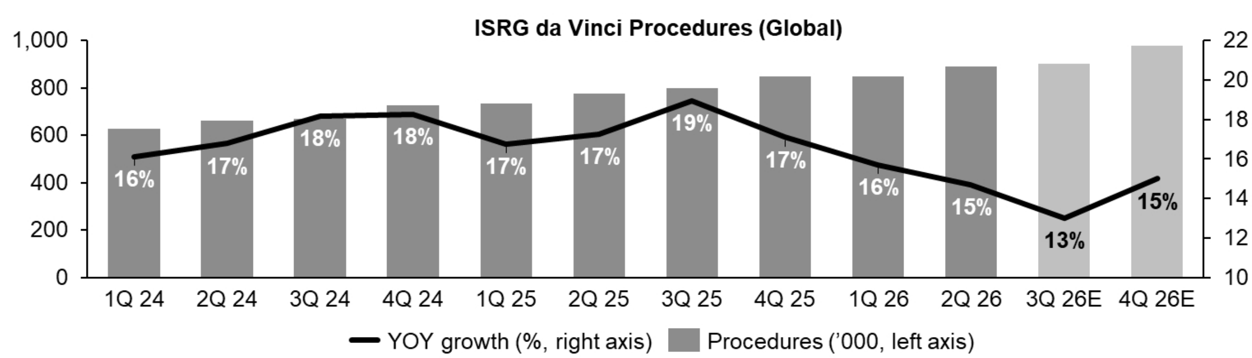
> *"**Growth in the U.S. moderated from recent trends** and our expectations at the start of the year, **predominantly in procedures that can be deferred**. In our customer conversations, some have said that **changes in patient coverage and premium dynamics may be affecting when patients seek care and move forward with treatment.** Importantly, the underlying disease burden is unchanged and **deferred conditions typically progress and will ultimately require treatment. As patients return to care, we expect da Vinci will remain a clear choice** for their surgeons and care teams."*

Internationally, da Vinci procedures grew 20% in 2Q26, with particularly strong results in India, Italy, Taiwan, and the U.K., as well as solid growth in distributor markets and Germany. Da Vinci procedure growth in China and Japan was slightly ahead of the global average, but continued to be impacted. In China, procedures were impacted by lower tender activity, higher competitive intensity, and policy-driven pricing pressure. In Japan, lower capital placements over the past several quarters weighed on procedures, but management is optimistic in new policies supporting robotic surgery that went into effect June 1. In India, dv5 additionally received clearance.

> *"**In China**, the environment remains challenging. We continue to see **lower tender activity, increased domestic robotic competition, and policy-driven pricing pressure**, and we continue to operate through a dynamic policy environment, including charge code changes and the 15th 5-year plan quota process. We are engaging with provincial governments on their charge code policy and are progressing through the green channel process for both SP and da Vinci 5. When cleared, these platforms will bring additional differentiated capabilities to Chinese customers and their patients. **In Japan, new policies supporting robotic surgery went into effect on June 1, including reimbursement for additional procedures, and economic incentives for higher utilization programs**. We are encouraged by the direction of the policy environment as well as early response to these initiatives."*

Average da Vinci utilization in the U.S. grew 3%, driven in part by a growing installed base of higher-utilized da Vinci 5 systems.

EXHIBIT 3: **Da Vinci procedures grew 14.7% globally in 2Q26, 20bps slower than consensus (14.9%)**



Source: Company reports; Bernstein estimates & analysis

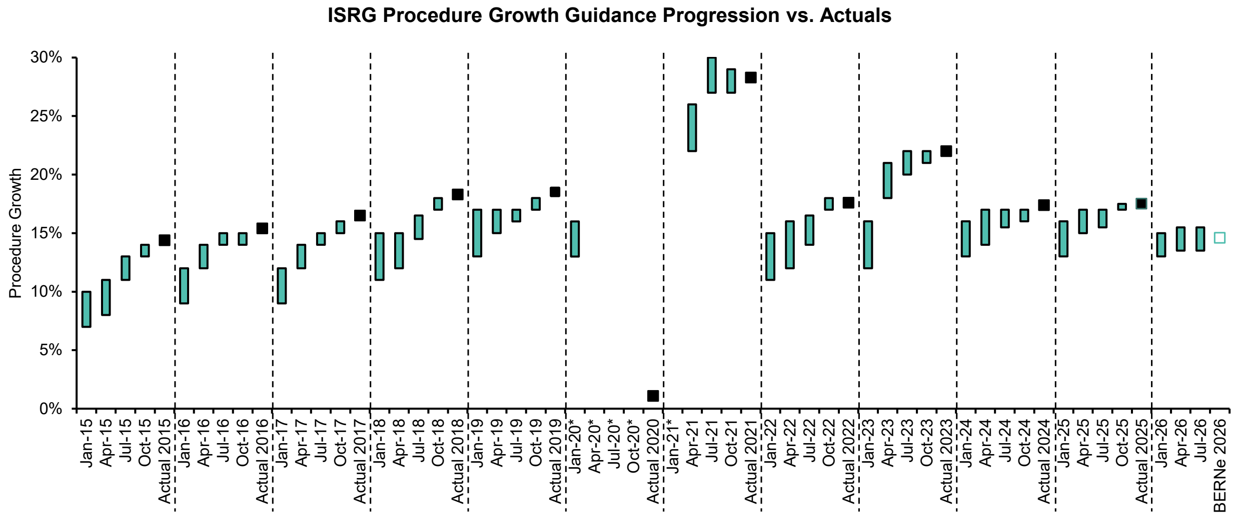
Maintained FY26 procedure guidance; guiding closer to midpoint

Intuitive left FY26 procedure growth guidance unchanged at 13.5% to 15.5%, adding that management expects to be closer the midpoint of this range. This came as a surprise, as investors have come to expect fairly steady beats and raises on procedure growth (see Exhibit 4). On our follow-up, management clarified that the decision to maintain (rather than raise) guidance was primarily driven by slowing U.S. procedures on ACA impact.

> *"...We continue to expect the primary growth drivers to be general surgery in the U.S., including after hours and procedures outside of urology internationally. **Our range considers the impact of changes to ACA premium subsidies and patient behavior in the U.S., China tender volumes and competitive intensity in that market, capital pressure***

> ***in parts of Europe*** *related to macroeconomic impact and shifting governmental priorities,* ***prior capital challenges in Japan*** *and how long those persist in 2026 in pharmaceutical products for obesity management."*

EXHIBIT 4: **ISRG typically upgrades procedure growth guidance each quarter; in 2Q26, management held the FY26 guide at 13.5%-15.5% and directed investors to the middle of the range**



Source: Company reports; Bernstein estimates & analysis

Per Exhibit 5, full-year 2026 gross margin guidance also came up by 50bps and, on Opex growth, management lowered the upper end of the range by one point.

EXHIBIT 5: **ISRG maintained FY26 procedure growth guidance and pointed investors to the midpoint of the range, raised gross margin guidance by 50bps, and lowered the high end of opex growth guidance by a point**

Intuitive Surgical Guidance Date Provided:	1/22/2026	4/21/2026	7/16/2026	Pre-Event Consensus	Pre-Event BERNe	Bernstein Forecast
For Period:	**FY26**	**FY26**	**FY26**	**FY26**	**FY26**	**FY26**
Implied Procedure # (k)						
Procedure Growth	**13% - 15%**	**13.5% - 15.5%**	**13.5% - 15.5%**	**15.2%**	**15.3%**	**14.6%**
Gross Margin	**67.0% - 68.0%**	**67.5% - 68.5%**	**68.0% - 69.0%**	**67.9%**	**68.0%**	**68.5%**
Opex Growth (yoy)	**11% - 15%**	**11% - 14%**	**11% - 13%**	**12.6%**	**12.5%**	**12.0%**
Noncash Compensation ($mn)	**$890 - $920**	**$890 - $920**	**$880 - $900**		**$890**	**$900**
Other Income ($mn)	**$355 - $375**	**$315 - $335**	**$315 - $335**	**$336**	**$231**	**$345**
Tax Rate	**22% - 23%**	**22% - 23%**	**22% - 23%**	**21.5%**	**22.6%**	**22.6%**
Revenue ($mn)				**$11,686**	**$11,772**	**$11,956**
EPS				**$10.42**	**$10.42**	**$11.08**
Shipments				**1,922**	**1,935**	**1,970**

Source: Company reports; Bloomberg; Bernstein estimates & analysis

Strong shipments; dV5 momentum to only improve over time

Intuitive shipped 468 da Vinci systems in Q2, beating consensus (444) by 5.4% and growing 18% YoY in da Vinci placements (versus 395 in 2Q25). Of the 468 shipments, 246 were da Vinci 5 units (including 114 dual consoles), bringing the dV5 installed base up to just over 1,700 systems. The strong beat demonstrated a strong capital quarter despite more reserved procedure growth.

dV5 shipments will only get better over time. Management framed the da Vinci 5 upgrade cycle as still early, directly citing that it took roughly 7 years into the Si-to-Xi transition before trade-in volumes peaked. As the platform continues to grow and software keeps improving, Intuitive sees a multi-year runway ahead.

> *"I don't think we have a perfect prediction. I would just say if you look at the --* ***when we introduced Xi, it took about seven years before we got to the peak trade-in volumes going from Si to Xi.*** *I just give that as a historical reference,*

> *nothing more. I think that as with Xi, the **da Vinci 5 capability in its ecosystem increases over time with the software updates** and the ability to improve other elements of the ecosystem. And each time we do those updates, that then makes the system more attractive. Of course, **there'll be some segmentation in the US** that's likely along the lines of what ASCs and HOPDs want to use given the procedure mix in those settings versus in the hospital. **But we've said for some time now, we think the upgrade cycle is progressive and occurs over multiples of years**."*

China weakness, Japan optimism, and India strength. Geographically, China remains challenging due to lower tender activity, rising domestic competition, and policy-driven pricing pressure. In the quarter, Intuitive placed two systems in China, including their first dV5 system in Hong Kong (dV5 is not cleared for Mainland China at this time). On the other hand, Intuitive is holding a "cautious tone of optimism" regarding the policy environment in Japan, where the company placed 25 systems (vs 15 in 2Q25).

> *"**In China, the environment remains challenging.** We continue to see lower tender activity, increased domestic robotic competition, and policy-driven pricing pressure. And **we continue to operate through a dynamic policy environment, including charge code changes and the 15th five-year plan quota process.** We are engaging with provincial governments on their charge code policy and are progressing through the green channel process for both SP and da Vinci 5. When cleared, these platforms will bring additional differentiated capabilities to Chinese customers and their patients. **In Japan, new policies supporting robotic surgery went into effect on June 1, including reimbursement for additional procedures and economic incentives for higher utilization programs.** We are encouraged by the direction of the policy environment as well as early response to these initiatives."*

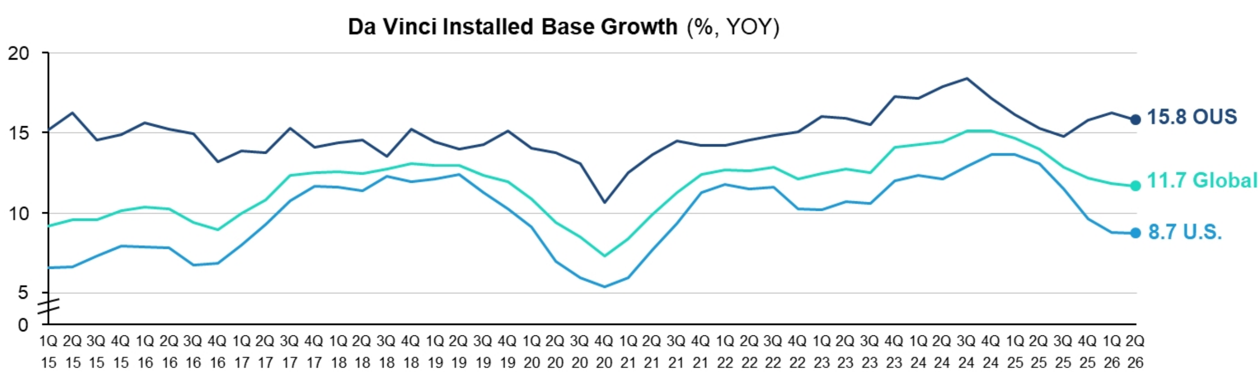
Management called out India as a standout performer in Q2, posting another strong quarter and receiving dV5 regulatory clearance this week, putting the company in the position to bring its latest platform into that market.

Stable capex environment. Management characterized the U.S. capital environment as stable for now. In Q2, U.S. placements rose 24% to 267 systems (vs 216 in 2Q25), with nearly the entire increase coming from trade-ins/upgrades.

> *"The **US capital environment, at least in our experience, has been stable for some time now.** And you see that, I think, in the healthy system placements in Q2 in the US, up 24%. I do think that we have a relative advantage in the -- around 70-ish percent of the systems acquired in the US are under leasing arrangements. And so that gives customers, I think, greater flexibility relative to when they have capital budget constraints. But I think **we feel good about how capital has performed in the US in recent periods.**"*

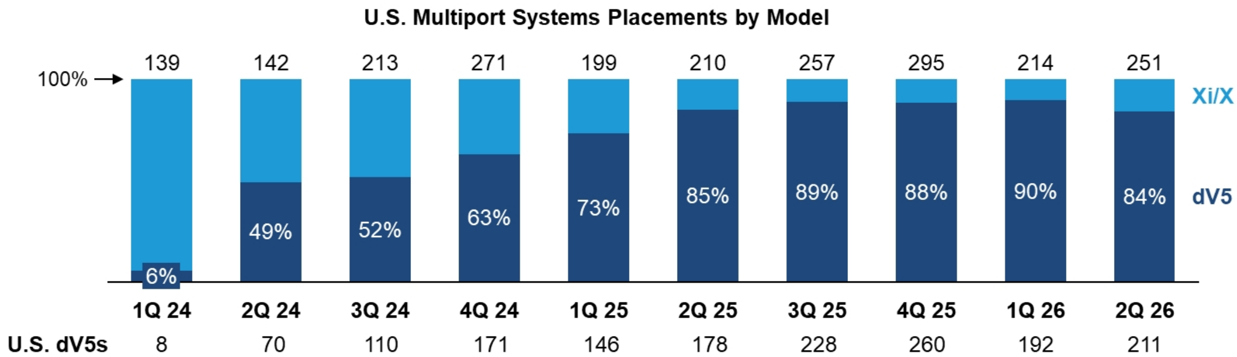
The company also saw greenfields up in the quarter, mostly coming from the 27 systems shipped at ASCs. Management additionally highlighted that while some customers have expressed caution over ACA enrollment trends, they haven't seen that impact their pipeline so far.

EXHIBIT 6: **U.S. da Vinci installed base growth stabilized at 8.7%**



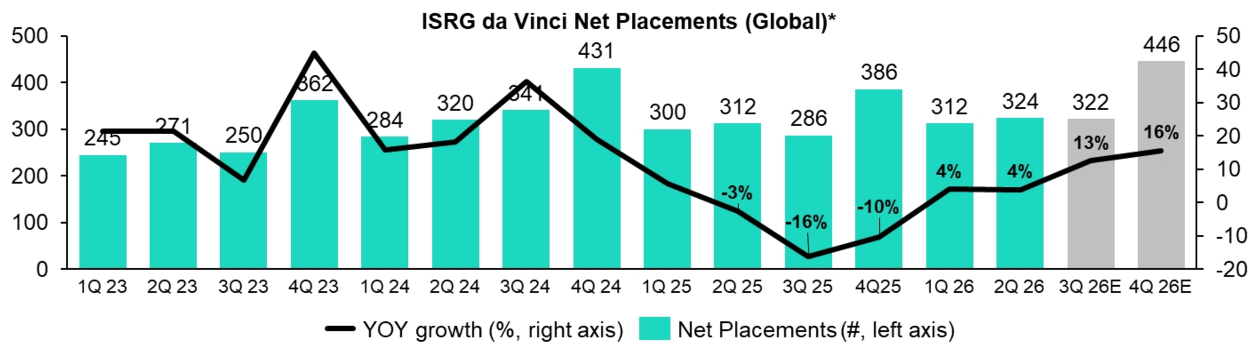
Source: Company reports; Bernstein analysis

EXHIBIT 7: **In the U.S., customers continue to express storng interest in dV5 (84% of multiport systems shipped)***



*Note U.S. refurbished Xi (XiR) placements increased from 8 in 1Q26 to 28 in 2Q26
Source: Company reports; Bernstein analysis

EXHIBIT 8: **Growth of global net da Vinci placements held steady at 4% year-over-year**



* Defined as total da Vinci shipments (including SP) minus trade-ins
Source: Company reports; Bernstein estimates & analysis

First phase of more than 100 updates intended to improve dV5 capability

On May 21st, Intuitive announced the first phase of more than 100 updates and user experience improvements on dV5, directed to improving telepresence, simulation-based training and care team workflow. Management clarified that most updates will be invisible to the customer and focused on improving the efficiency and effectiveness of the platform. Three of these features were also submitted for 510(k) clearance, including (1) digital ruler, which enables on-screen intraoperative measurement, (2) surgeon-initiated tool eject, which allows surgeons to remove instruments/endoscope directly from the console, and (3) multi-arm targeting, which enables targeting with any number of arms docked. Management emphasized that given the impressive computing power of dv5, Intuitive would be able to strengthen the platform continuously by adding capabilities and features on a regular basis.

> *"...the way to think about this cadence that we've committed to,* ***as we take da Vinci 5 as a platform and its compute power, the 10,000 times, we're able to add capabilities and features to that on a regular basis****. And so the press release that you're referring to has 100 updates. And* ***some of those updates will be not visible to the customer****. They're kind of under the hood, so to speak, and many will be visible to the customer and they're focused in the areas that we talked about.* ***3 of them in particular*** *that take advantage of these updates,* ***we submitted for 510(k) clearance****. [...]* ***2 of them center on [...] usability and efficiency features where the care team and the surgeon may be able to minimize some communication back and forth on the surgeon tool inject feature****, for example, where they can indicate exactly which tool is going to be needing to be changed.* ***The other 1 is we are able to adjust multiple arms either preoperatively or during the case*** *will help efficiency of the case. And now we're finally* ***adding this digital ruler too****, and that's another 1 that requires clearance. And that one, you can imagine in a variety of cases, where it can be used by the surgeon to measure a particular part of the anatomy and what they're trying to ensure meets the needs of the patient. And so those are the 3 that are submitted for clearance.* ***Others will be kind of circling around some of***

> ***the efficiencies and effectiveness of the system****. And then that's what you'll see going forward, too,* ***as we look at next year and years beyond, is a set of updates many of which will be kind of standout features that improve the capability of the system****."*

I&A per procedure revenue increases, driven in part by growing Force Feedback adoption

Total I&A revenue grew 18% to $1.73bn, beating consensus ($1.72bn) by 1%. Da Vinci I&A revenue per procedure also grew, increasing to $1,830 compared to $1,800 in 2Q25. Management attributed this increase to a higher mix of SP and dV5 procedures, offset by customer ordering patterns, higher cholecystectomy procedures, and lower bariatric procedures. Intuitive also highlighted the rising adoption of Force Feedback instruments as another tailwind to da Vinci I&A revenue per procedure.

Extended use program. Announced in May and beginning in 1H27, Intuitive expects to increase the number of uses on a subset of EndoWrist instruments, intended to lower the customer cost per procedure and support the broader adoption of dV surgery — particularly in benign procedures and certain geographies where cost constraints may be greater. Ultimately, Intuitive's goal behind the EUP is to "*reinforce a virtuous cycle, where lower costs support broader adoption, which drives utilization and scale, and in turn enables continued innovation across our platforms.*" Notably, management confirmed that Force Feedback instruments, as well as stapling and energy products, would be excluded from the upcoming Extended Use Program. Intuitive is still finalizing pricing and expects to quantify the impact on their 3Q26 call. For now, we forecast a ~3% decline in I&A revenue per procedure from 2026 to 2027.

510(k) submission for new gastrointestinal (GI) robot

As part of Intuitive's commitment to reach more patients and advance early-stage R&D programs exploring robotic-assisted technology in new disease areas, the company has submitted a new gastrointestinal robot for FDA 510(K) clearance. Specifically a *"foundational, non-commercial, next-generation flexible robotic endoscope system"* for the gastrointestinal tract, Intuitive is excited in the robot's potential to bring better minimally invasive care to more patients. Management noted the new system would have a "therapeutic" application, suggesting it will NOT be exclusively focused on diagnostics (e.g., colonoscopy).

Full retention on first wave of My Intuitive+ renewal

In the quarter, Intuitive executed the first wave of My Intuitive+ renewals — the dv5's integrated offering of telepresent simulation and AI-driven case insights — after free trials began expiring in the quarter. While the initial renewal cohort was small (we estimate ~350 systems), no customers opted out off their My Intuitive+ arrangements. Pricing for the service is landing around ~$40k per system per year. While initial impact is small, it will grow over time as the one-year free trial period progressively expires on each quarter's shipments of da Vinci 5 systems.

APPENDIX - FINANCIAL FORECASTS

EXHIBIT 9: **Intuitive Surgical (ISRG) Financial Model**

Adjusted Income Statement	2021	2022	2023	2024	2025	2026E	2027E	2028E	1Q 25	2Q 25	3Q 25	4Q 25	1Q 26	2Q 26	3Q 26E	4Q 26E
Instruments & Accessories	3,101	3,518	4,277	5,079	6,019	7,145	8,230	9,527	1,368	1,474	1,519	1,658	1,686	1,735	1,769	1,955
Systems	1,693	1,680	1,680	1,966	2,474	2,847	3,201	3,648	523	575	590	786	651	685	705	806
Services	916	1,024	1,168	1,307	1,572	1,964	2,489	3,003	363	391	396	422	434	472	513	546
Sales	**5,710**	**6,222**	**7,124**	**8,352**	**10,065**	**11,956**	**13,920**	**16,179**	**2,253**	**2,440**	**2,505**	**2,866**	**2,771**	**2,892**	**2,987**	**3,306**
COGS (adj)	1,645	1,916	2,270	2,581	3,265	3,772	4,433	5,136	757	783	801	924	892	868	957	1,055
Gross profit (adj)	**4,066**	**4,306**	**4,855**	**5,771**	**6,800**	**8,184**	**9,487**	**11,043**	**1,497**	**1,657**	**1,704**	**1,942**	**1,879**	**2,024**	**2,030**	**2,252**
SG&A (adj)	1,224	1,445	1,673	1,815	2,031	2,227	2,561	2,996	482	472	477	599	523	522	553	629
R&D (adj)	534	712	785	889	1,009	1,176	1,353	1,583	247	238	251	272	280	284	291	321
Operating income (adj)	**2,307**	**2,149**	**2,397**	**3,067**	**3,760**	**4,781**	**5,574**	**6,464**	**768**	**947**	**976**	**1,070**	**1,077**	**1,218**	**1,185**	**1,301**
Interest and other income, net	69	47	192	325	366	345	287	325	90	89	96	91.3	85	83	84	92.9
Earnings before taxes	2,362	2,196	2,589	3,392	4,126	5,126	5,861	6,789	858	1,035	1,071	1,162	1,162	1,301	1,269	1,394
Taxes (adj)	526	480	535	728	862	1,157	1,345	1,561	191	236	196	239	256	294	289	318
Net income (adj)	**1,809**	**1,695**	**2,042**	**2,656**	**3,240**	**3,959**	**4,515**	**5,227**	**662**	**798**	**867**	**914**	**901**	**1,002**	**980**	**1,076**
Diluted EPS (adj)	**$4.95**	**$4.68**	**$5.71**	**$7.34**	**$8.93**	**$11.08**	**$12.71**	**$14.71**	**$1.81**	**$2.19**	**$2.40**	**$2.53**	**$2.50**	**$2.80**	**$2.75**	**$3.02**
Avg Diluted Shares (M)	365.8	362.0	357.4	362.0	362.7	357.4	355.2	355.4	364.6	364.1	361.8	360.4	359.8	357.3	356.6	355.8
EBITDA (adj)	**2,590**	**2,487**	**2,799**	**3,512**	**4,375**	**5,448**	**6,205**	**7,127**	**905**	**1,099**	**1,133**	**1,239**	**1,256**	**1,380**	**1,347**	**1,466**

Growth Rates (YoY)	2021	2022	2023	2024	2025	2026E	2027E	2028E	1Q 25	2Q 25	3Q 25	4Q 25	1Q 26	2Q 26	3Q 26E	4Q 26E
Reported Growth																
Instruments & Accessories	26.3%	13.5%	21.6%	18.8%	18.5%	18.7%	15.2%	15.8%	18.0%	18.5%	20.1%	17.5%	23.3%	17.7%	16.5%	17.9%
Systems	43.6%	-0.8%	0.0%	17.0%	25.8%	15.1%	12.5%	14.0%	25.0%	28.2%	32.7%	20.1%	24.5%	19.2%	19.4%	2.6%
Services	26.6%	11.8%	14.0%	11.9%	20.3%	25.0%	26.7%	20.7%	15.8%	23.3%	20.4%	21.5%	19.5%	20.8%	29.5%	29.3%
Total	**31.0%**	**9.0%**	**14.5%**	**17.2%**	**20.5%**	**18.8%**	**16.4%**	**16.2%**	**19.2%**	**21.4%**	**22.9%**	**18.8%**	**23.0%**	**18.5%**	**19.2%**	**15.4%**
EBITDA	48.8%	-4.0%	12.5%	25.5%	24.6%	24.5%	13.9%	14.9%	23.3%	27.6%	30.5%	18.1%	38.8%	25.6%	18.9%	18.3%
EBIT (adj)	52.3%	-6.9%	11.6%	27.9%	22.6%	27.1%	16.6%	16.0%	21.8%	25.5%	29.3%	15.4%	40.3%	28.7%	21.4%	21.5%
EPS (adj)	46.0%	-5.3%	22.0%	28.4%	21.8%	24.0%	14.7%	15.7%	20.9%	23.4%	29.9%	14.6%	38.0%	28.0%	14.7%	19.3%

Key ratios	2021	2022	2023	2024	2025	2026E	2027E	2028E	1Q 25	2Q 25	3Q 25	4Q 25	1Q 26	2Q 26	3Q 26E	4Q 26E
Gross margin	71.2%	69.2%	68.1%	69.1%	67.6%	68.5%	68.2%	68.3%	66.4%	67.9%	68.0%	67.8%	67.8%	70.0%	68.0%	68.1%
SG&A	21.4%	23.2%	23.5%	21.7%	20.2%	18.6%	18.4%	18.5%	21.4%	19.4%	19.0%	20.9%	18.9%	18.1%	18.5%	19.0%
R&D	9.4%	11.4%	11.0%	10.6%	10.0%	9.8%	9.7%	9.8%	11.0%	9.8%	10.0%	9.5%	10.1%	9.8%	9.8%	9.7%
EBITDA	45.4%	40.0%	39.3%	42.0%	43.5%	45.6%	44.6%	44.1%	40.2%	45.0%	45.2%	43.2%	45.3%	47.7%	45.1%	44.3%
Operating margin (adj)	**40.4%**	**34.5%**	**33.6%**	**36.7%**	**37.4%**	**40.0%**	**40.0%**	**40.0%**	**34.1%**	**38.8%**	**39.0%**	**37.3%**	**38.9%**	**42.1%**	**39.7%**	**39.3%**
Tax rate, % EBT	22.3%	21.8%	20.7%	21.5%	20.9%	22.6%	23.0%	23.0%	22.3%	22.8%	18.3%	20.6%	22.0%	22.6%	22.8%	22.8%
Net income (adj)	31.7%	27.2%	28.7%	31.8%	32.2%	33.1%	32.4%	32.3%	29.4%	32.7%	34.6%	31.9%	32.5%	34.6%	32.8%	32.5%

Cash Flow	2021	2022	2023	2024	2025	2026E	2027E	2028E	1Q 25	2Q 25	3Q 25	4Q 25	1Q 26	2Q 26	3Q 26E	4Q 26E
FCF	1,736	958	750	1,304	2,491	4,260	4,870	5,535	465	560	736	730	809	1,552	975	925
FCF, % sales	30%	15%	11%	16%	25%	36%	35%	34%	21%	23%	29%	25%	29%	54%	33%	28%
FCF:Adj. NI	96%	57%	37%	49%	77%	108%	108%	106%	70%	70%	85%	80%	90%	155%	99%	86%
FCF/share	$4.75	$2.65	$2.10	$3.60	$6.87	$11.92	$13.71	$15.57	$1.28	$1.54	$2.03	$2.03	$2.25	$4.34	$2.73	$2.60
Cash from Operations	2,089	1,491	1,814	2,415	3,031	4,898	5,566	6,344	582	715	841	893	912	1,696	1,124	1,090
Cash from Investing	(2,462)	1,371	(360)	(3,273)	666	(1,374)	(696)	(809)	214	261	401	(209)	(915)	(145)	(149)	(165)
Cash from Financing	43	(2,572)	(288)	151	(2,364)	(2,617)	(866)	0	(236)	(148)	(1,843)	(138)	(1,354)	(448)	(404)	(412)
Change in cash	**(329)**	**289**	**1,166**	**(707)**	**1,332**	**906**	**4,004**	**5,535**	**559**	**828**	**(601)**	**546**	**(1,356)**	**1,104**	**571**	**513**
Capex	(354)	(532)	(1,064)	(1,111)	(540)	(563)	(696)	(809)	(117)	(155)	(105)	(163)	(103)	(145)	(149)	(165)
Buy backs	0	(2,607)	(416)	0	(2,295)	(2,387)	(866)	0	0	(181)	(1,913)	(201)	(1,123)	(448)	(404)	(412)

Balance Sheet	2021	2022	2023	2024	2025	2026E	2027E	2028E	1Q 25	2Q 25	3Q 25	4Q 25	1Q 26	2Q 26	3Q 26E	4Q 26E
Total Assets	13,555	12,974	15,442	18,743	20,459	22,596	27,360	33,880	19,220	20,163	19,352	20,459	20,111	20,831	21,659	22,596
Current Assets	5,845	6,253	7,888	7,111	9,780	11,349	16,083	22,494	7,658	8,746	8,525	9,780	8,810	9,552	10,398	11,349
LT Assets	7,710	6,721	7,554	11,632	10,679	11,247	11,277	11,386	11,563	11,417	10,827	10,679	11,302	11,279	11,261	11,247
Book Value of Equity	11,952	11,113	13,397	16,530	17,942	20,082	24,790	31,246	17,208	17,953	17,042	17,942	17,597	18,370	19,170	20,082
Total Liabilities	1,604	1,861	2,044	2,214	2,517	2,514	2,570	2,634	2,013	2,210	2,310	2,517	2,514	2,461	2,489	2,514
Cash	1,291	1,581	2,750	2,027	3,368	4,194	8,198	13,733	2,574	3,403	2,807	3,368	2,007	3,111	3,681	4,194
Total Debt	0	0	0	0	0	0	1	1								
Net Debt (cash)	(1,291)	(1,581)	(2,750)	(2,027)	(3,368)	(4,194)	(8,197)	(13,732)	(2,574)	(3,403)	(2,807)	(3,368)	(2,007)	(3,111)	(3,681)	(4,194)
Net Debt (cash): EBITDA	-0.5x	-0.6x	-1.0x	-0.6x	-0.8x	-0.8x	-1.3x	-1.9x	0.7x	0.8x	0.6x	0.7x	0.4x	0.6x	0.7x	0.7x
Total Debt (cash): EBITDA	0.0x	0.0x	0.0x	0.0x	0.0x	0.0x	0.0x	0.0x	0.0x	0.0x	0.0x	0.0x	0.0x	0.0x	0.0x	0.0x
NOPAT (All in)	1,793	1,680	1,901	2,409	2,975	3,702	4,294	4,977	488	586	600	735	488	586	600	735
ROIC (All in)	15.4%	13.6%	14.5%	15.2%	16.3%	18.1%	17.7%	16.7%	13.4%	15.4%	15.0%	17.3%	13.4%	15.4%	15.0%	17.3%
ROIC (Tangible)	16.7%	14.8%	15.8%	16.3%	17.5%	19.5%	19.0%	17.7%								

Source: Company reports; Bernstein estimates and analysis

BERNSTEIN TICKER TABLE

			16 Jul 2026		TTM		Adjusted EPS			Adjusted P/E (x)		
			Closing	Price	Rel.							
Ticker	Rating	Cur	Price	Target	Perf.	Cur	2025A	2026E	2027E	2025A	2026E	2027E
ISRG (Intuitive Surgical)	O	USD	402.33	**685.00**	(42.3)%	USD	8.93	**11.08**	**12.71**	45.0	36.3	31.6
OLD				750.00				10.54	12.23			
SPX			7,533.77									

PRICE TARGET CHANGE / ESTIMATE CHANGE IN BOLD

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

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VALUATION METHODOLOGY

Intuitive Surgical Inc

We set a price target of $685 using a P/E multiple of 50x against our forward Q5-Q8 EPS estimate of $13.66. The P/E target is based on observed absolute and relative historical multiples and our outlook for forward growth. We also use a 30-year DCF analysis as a secondary input to our valuation.

RISKS

Intuitive Surgical Inc

Downside risks include: Worsening supply chain constraints, major product recall, earlier than expected introduction of surgical robots from major competitors, changes in treatment guidelines for critical procedures (prostatectomy, hysterectomy, etc.), changes to the economic environment that significantly reduce procedure volumes and/or healthcare spending levels, new tariffs on products or components manufactured outside the United States.

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION

EQUITY RATINGS DEFINITIONS

Bernstein brand

The Bernstein brand rates stocks based on forecasts of relative performance for the next 12 months versus the S&P 500 for stocks listed on the U.S. and Canadian exchanges, versus the Bloomberg Europe Developed Markets Large and Mid Cap Price Return Index EUR (EDME) for stocks listed on the European exchanges and emerging markets exchanges outside of the Asia Pacific region, versus the Bloomberg Japan Large and Mid Cap Price Return Index USD (JPL) for stocks listed on the Japanese exchanges, and versus the Bloomberg Asia ex-Japan Large and Mid Cap Price Return Index (ASIAX) for stocks listed on the Asian (ex-Japan) exchanges -unless otherwise specified.

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- Underperform: Stock will trail the performance of the market index by more than 15 pp

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Not Covered (NC) denotes companies that are not under coverage.

Bernstein brand stock ratings are based on a 12-month time horizon.

Autonomous brand – common stocks

The Autonomous brand rates common stocks as indicated below. As our benchmarks we use the Bloomberg Europe 600 Financials Price Return Index (E600BK) and Bloomberg Europe Dev Mkt Financials Large and Mid Cap Price Ret Index EUR (EDMFI) index for developed European banks and Payments, the Bloomberg Europe 600 Insurance Price Return Index (E600IN) for European insurers, the S&P 500 and S&P Financials for US banks and Payments coverage, S5LIFE for US Insurance, the S&P Insurance Select Industry (SPSIINS) for US Non-Life Insurers coverage, and the Bloomberg Emerging Markets Financials Large, Mid and Small Cap Price Return Index (EMLSF) for emerging market banks and insurers and Payments. Ratings are stated relative to the sector (not the market).

The Autonomous brand has three categories of common stock ratings:

- Outperform (OP): Stock will outpace the relevant index by more than 10 pp
- Neutral (N): Stock will perform in line with the market index to within +/-10 pp
- Underperform (UP): Stock will trail the performance of the relevant index by more than 10 pp

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Those denoted as ‘Feature’ (e.g., Feature Outperform FOP, Feature Under Outperform FUP) are our core ideas.

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The Autonomous brand has three categories of preferred stock ratings:

- Outperform (OP): The total return of the preferred instrument is expected to outperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Neutral (N): The total return of the preferred instrument is expected to perform in line with preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
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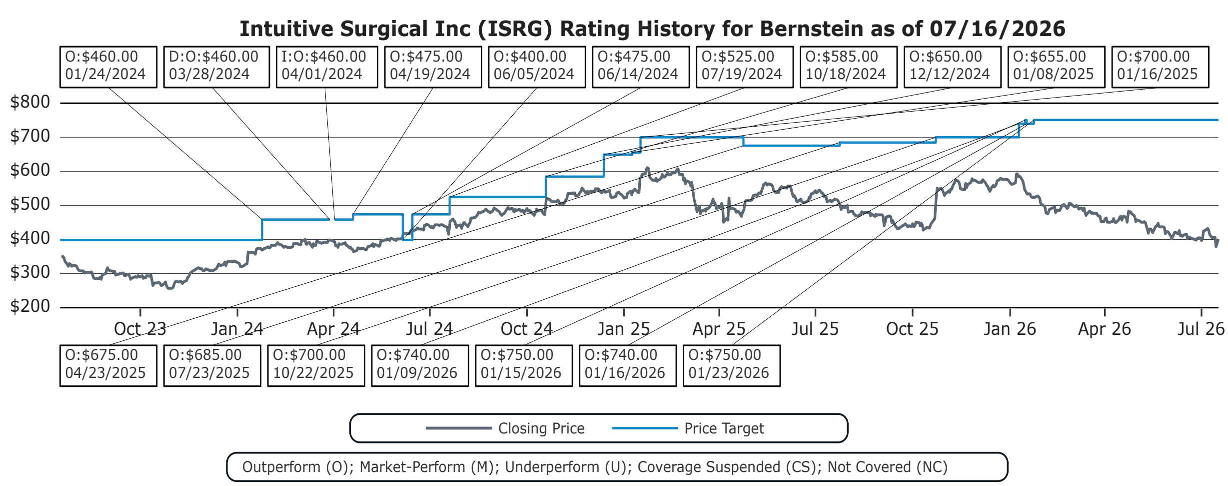
Outperform	BUY	51.2%	15.3%
Market-Perform (Bernstein Brand) Neutral (Autonomous Brand)	HOLD	35.8%	16.2%
Underperform	SELL	13.1%	13.6%

* These figures represent the percentage of companies within each equity rating category for which affiliates of Bernstein have provided investment banking services within the previous 12 months.
As of June 30, 2026. All figures are updated quarterly.

PRICE CHARTS / RATINGS AND PRICE TARGET HISTORY

Prior to April 1, 2024, Sanford C. Bernstein & Co., LLC. issued the ratings and price target information in the graph(s) below for the following companies: Intuitive Surgical Inc.



All price target and closing price data in the chart(s) above are denominated in the currency noted in the Ticker Table of this report.

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